INFOSYS LIMITED

ACCUMULATE

NSE: INFY | BSE: 500209 | Information Technology — IT Services

12-Month Target: Rs. 1,250 (+20.1%)

CMP (Rs.)	Mkt Cap (Rs.Cr)	52W High	52W Low	P/E (TTM)	EV/EBITDA
1,041	4,22,475	1,728	1,026	14.0x	8.86x
Book Value	**Div Yield**	**ROCE**	**ROE**	**D/E**	**Promoter %**
Rs. 229	4.61%	40.0%	31.9%	0.10x	14.38%
FY26 EPS	**FY27E EPS**	**FY27E P/E**	**FCF (Rs.Cr)**	**Int Cov**	**Face Value**
Rs. 72.59	Rs. 73.8 (E)	14.1x	31,259	99.3x	Rs. 5.00

Investment Thesis: Buy the AI transition discount — Infosys' $14.9bn deal TCV, Topaz platform & 21% margin discipline offer compounding at a sub-15x multiple.

Report Date: 29 June 2026 | Analyst: Institutional Equity Research Desk | Data Source: Screener.in (fetched 29-Jun-2026), NSE/BSE filings

SECTION 2 — INVESTMENT THESIS

• **AI services monetisation gaining scale:** Infosys signed USD 14.9bn in large deals in FY26 (+28% YoY), with 55% net new — the highest net-new mix in recent memory. The Topaz Fabric platform, with AI partnerships across Anthropic, OpenAI, Google Gemini, NVIDIA and AWS, positions Infosys at the centre of enterprise AI transformation. AI-led productivity gains in existing engagements (Ralph Lauren +12% revenue, Hertz 60% cost reduction) are building live proof points. As AI services grow from a nascent base to >10% of revenue over FY27-29, they should command pricing premium and rerate the multiple.

• **Valuation at 5-year lows creates asymmetric entry:** At Rs. 1,041, INFY trades at 14.0x TTM P/E — near the bottom of its historical range (typically 17-30x). The stock has corrected 35% in 1 year and is near its 52-week low of Rs. 1,026. With FY27E EPS of Rs. 73.8 (guided 1.5-3.5% CC growth, 20-22% margin), the stock offers 20% upside to our 17x FY27E target of Rs. 1,250 even without a re-rating. A FCF yield of ~7.4% (FCF Rs. 31,259 Cr / MCap Rs. 4,22,475 Cr) is exceptional for an IT compounder.

• **Capital return machine with zero net debt risk:** Infosys returned over Rs. 4bn (USD equivalent) to shareholders in FY26 via dividends and buybacks, while maintaining a robust cash and investment balance of USD 4.5bn. Dividend payout has been consistently above 65% for 3 years. Total dividend for FY26 was Rs. 48/share (+11.6% YoY). With D/E at 0.10x and interest coverage at 99x, the balance sheet has ample capacity to sustain or increase returns.

• **Near-term catalyst (next 6-12 months):** Q1 FY27 results (expected Jul 2026) — management guided H1 FY27 to be stronger than H2 (normal seasonality). If FS vertical (guided to accelerate) and EURS segment deliver, the company could narrow guidance to the upper end of 1.5-3.5%, triggering a sentiment reversal. The Stratus acquisition closing and Anthropic partnership deepening could also act as re-rating catalysts.

• **Biggest structural risk:** AI deflationary compression on existing AMS/outsourcing portfolios may accelerate faster than AI services revenue growth, particularly if foundation model capabilities enable clients to insource more work. The FY27 guidance already embeds this at the lower end (1.5% growth), but a structural acceleration in deflation could keep earnings flat despite deal wins.

SECTION 3 — BUSINESS OVERVIEW

• **Core model — technology services and consulting:** Infosys is India's 2nd-largest IT services company, providing consulting, technology outsourcing, and digital transformation services. Revenue of Rs. 178,650 Cr in FY26 (USD 20.2bn) places it firmly in the global top-10 IT services players. Services span application management, infrastructure, digital engineering, cloud, and BPO.

• **Revenue segmentation:** Financial Services (~28%), Retail Consumer and Logistics (~14%), Manufacturing (~13%), Energy, Utilities, Resources & Services (EURS ~14%), Communications (~9%), Life Sciences & Healthcare (~7%), Hi-Tech (~7%), and Others (~8%). Geography: North America ~60%, Europe ~27%, Rest of World ~13%.

• **Key customers — deep, sticky relationships:** 39 clients contribute $100mn+ annually (up 3 in FY26); 19 clients generate $200mn+ and 3 are mega-clients above $400mn. Top-10 client concentration is ~20%, down from 21% (positive). Active clients count: 1,869. All relationships are multi-year, contract-based with high switching costs.

• **Deal pipeline and revenue visibility:** Large deal TCV of USD 14.9bn in FY26 (96 deals, 55% net new). The strong net-new proportion indicates market share gain beyond renewals. Large deal pipeline described by management as "robust" entering FY27, with Financial Services and EURS expected to accelerate.

• **Strategic developments — AI-first repositioning:** Infosys launched its Topaz Fabric platform for AI delivery, signed strategic AI partnerships with Anthropic, OpenAI, Google, NVIDIA, and AWS. Deployed 30,000+ developers on GitHub Copilot. Closed Stratus acquisition in April 2026. Also acquiring Versent (JV, Australia) and Optimum Healthcare (pending). Project Maximus continues to drive value-based selling, lean delivery, and portfolio rationalisation.

• **Promoter background:** Infosys was co-founded by N.R. Narayana Murthy and 6 other founders in 1981. Current promoter group holds 14.38% — low by Indian standards but explained by historical wealth distribution across multiple founders. There is no promoter pledging. CEO Salil Parekh (since 2018) is a seasoned executive from Capgemini with a track record of stabilising and growing large IT organisations.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size and growth:** Global IT services market is estimated at USD 1.2 trillion (2025), growing at ~7-8% CAGR through 2030, driven by cloud, AI, and digital transformation spending. Indian IT services segment specifically targeted at ~USD 300-400bn opportunity in AI services alone (per Infosys Investor Day 2026). India's IT exports crossed USD 200bn in FY26.

• **Policy tailwinds:** US enterprises are re-shoring digital work from pure-play offshore to outcome-based engagements — benefiting Infosys's "Topaz + delivery" model. European clients are accelerating legacy modernisation ahead of regulatory deadlines. The Anthropic partnership directly addresses the USD 300-400bn AI services opportunity management cited at Investor Day.

• **Key headwinds:** AI-led productivity pass-throughs reduce per-unit revenue on existing AMS contracts. Macro uncertainty (Middle East conflict, US tariffs) is delaying discretionary spend decisions. One large European manufacturing client is ramping down (~75-100 bps revenue headwind in FY27).

• **Competitive moat assessment:** Scale — Strong (3rd globally in IT outsourcing, client stickiness at $100mn+ is high). IP/Platform — Moderate-to-Strong (Topaz Fabric, Cobalt cloud platform are differentiators; Anthropic partnership is exclusive in nature). Pricing power — Moderate (competitive intensity is high; AI productivity gains are being partially passed to clients). Switching costs — Strong (multi-year transformation contracts with deep integration into client systems create high switching costs).

• **AI competitive dynamics — risk and opportunity:** AI-native disruptors (smaller firms quoting out-of-range pricing) are a growing competitive threat on smaller deals. However, Infosys' advantage in large, complex, multi-year deals remains intact — evidenced by $15bn TCV with 96 large deals. Management explicitly declined to chase irrational pricing bids.

Peer Comparison (Source: Screener.in, fetched 29-Jun-2026)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E	ROCE 3Yr%	D/E	FCF 3Yr (Cr)	Div Yield
TCS	2,094.70	7,57,881	14.48x	63.98%	0.11x	1,34,695	1.43%
Infosys*	1,041.20	4,22,475	14.04x	39.14%	0.10x	87,725	4.61%
HCL Tech	1,100.70	2,98,693	17.20x	30.61%	0.07x	61,186	3.20%
Wipro	175.00	1,83,812	13.96x	18.12%	0.23x	46,041	2.50%
Tech Mahindra	1,437.10	1,40,844	28.20x	17.85%	0.07x	16,567	2.00%
LTIMindtree	3,762.60	1,11,607	20.65x	29.78%	0.10x	12,338	1.80%

* Subject company. All data from Screener.in consolidated view.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership track record:** CEO Salil Parekh (since Jan 2018) stabilised Infosys after a turbulent 2017-18 (founder-board conflict). His 8-year tenure has seen revenue grow from USD 10.9bn (FY18) to USD 20.2bn (FY26), a 1.85x absolute growth. CFO Jayesh Sanghrajka brings deep financial discipline — margin has been maintained at 20-21% even through volatile FY23-26 macro. Consistent execution against guidance bands has restored management credibility.
- **Capital allocation — shareholder-friendly and disciplined:** Total capital returned to shareholders in FY26 was USD 4bn+ (dividends + buybacks). Dividend per share has grown from Rs. 29.50 (FY22) to Rs. 48.00 (FY26), a 13% CAGR. Payout ratio sustained above 65% for 3 consecutive years. No dilutive large acquisitions; Stratus, Versent and Optimum Healthcare are small tuck-ins targeted at capability building.
- **Promoter pledging — zero risk:** Promoter pledge is 0% across all recent quarters. This is a positive differentiator vs many mid-cap IT names where promoter pledging is a governance overhang.
- **Project Maximus — value-based selling initiative:** Launched ~2 years ago, Maximus has contributed +30 bps per quarter in margin improvement through lean delivery, automation, and value-based pricing on new deals. Management guided Maximus tailwinds to continue into FY27.
- **ESOP and buyback history:** Infosys has conducted regular buybacks (Rs. 9,300 Cr in FY23, Rs. 9,800 Cr in FY24). No aggressive ESOP dilution observed — equity capital has been declining (Rs. 2,073 Cr FY25 → Rs. 2,024 Cr FY26 after buyback), reflecting capital discipline.
- **Governance note — promoter reclassification:** Shareholders approved reclassification of Shreyas and Bhairavi Shibulal from promoter group to public category (Jun 2026). This is housekeeping/succession planning, not a governance red flag. Founder Murthy family stake remains.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated; Rs. Cr)

Income Statement

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	1,53,670	1,62,990	1,78,650	1,83,116	1,92,272
Revenue Growth %	4.7%	6.1%	9.6%	2.5%	5.0%
EBITDA (Rs. Cr)	36,425	39,236	42,280	38,454	41,338
EBITDA Margin %	23.7%	24.1%	23.7%	21.0%	21.5%
Other Income (Rs. Cr)	4,711	3,600	3,033	3,100	3,200
Interest (Rs. Cr)	470	416	416	420	420
Depreciation (Rs. Cr)	4,678	4,812	4,902	4,950	5,000
PBT (Rs. Cr)	35,988	37,608	39,995	36,184	39,118
Tax %	27%	29%	26%	29%	29%
PAT (Rs. Cr)	26,248	26,750	29,474	25,690	27,774
EPS (Rs.)	63.20	64.32	72.59	63.4	68.6
Dividend/Share (Rs.)	46.00	47.00	48.00	44.00(E)	46.00(E)

(E) = Analyst estimate. FY27E/FY28E revenue based on mgmt. guidance midpoint (2.5%) and analyst projection (5%). Margin at guided 21%/21.5% midpoint.

Balance Sheet

Item	FY24A	FY25A	FY26A
Equity Capital	2,071	2,073	2,024
Reserves	86,045	93,745	90,828
Borrowings	8,359	8,227	9,176
Other Liabilities	39,545	43,750	52,260
Total Liabilities	1,36,020	1,47,795	1,54,288
Fixed Assets	27,622	30,961	33,770

CWIP	293	814	526
Investments	24,623	23,541	21,880
Other Assets	83,482	92,479	98,112
Total Assets	1,36,020	1,47,795	1,54,288

Cash Flow Statement

Item	FY24A	FY25A	FY26A
Operating CF (OCF)	25,210	35,694	33,986
Investing CF	-5,093	-1,864	3,546
Financing CF	-17,504	-24,161	-39,786
Net Cash Flow	2,613	9,669	-2,254
Free Cash Flow (FCF)	23,009	33,457	31,259
CFO / Operating Profit	95%	105%	101%

Key Ratios

Ratio	FY24A	FY25A	FY26A
ROCE %	40.0%	38.0%	40.0%
ROE %	N/A	N/A	31.9%
Debtor Days	72	70	72
Cash Cycle Days	72	70	72
WC Days	54	39	33
D/E Ratio	0.10x	0.09x	0.10x
Int. Coverage	76.6x	90.6x	99.3x

• **Revenue trajectory:** Revenue grew from Rs. 1,53,670 Cr (FY24) to Rs. 1,78,650 Cr (FY26), a 7.8% 2-year CAGR. Growth was broad-based in FY26 — Financial Services (+4.4% CC), Communications (above company avg), Manufacturing above avg despite macro. FY27 is guided at 1.5-3.5% CC, implying deliberate cautiousness on macro rather than structural deterioration.

• **Margin discipline under pressure:** EBITDA margins have been stable at ~24% for 3 years despite AI investment headwinds, compensation increases, and competitive pricing. FY27 guidance is 20-22% — the implied reset (from 23.7%) reflects wage hikes, AI investment acceleration and productivity pass-throughs. Project Maximus (+30 bps/quarter contribution) partially offsets these headwinds.

• **Working capital improving:** Working capital days improved from 54 days (FY24) to 33 days (FY26), a structural improvement driven by technology-led collections (DSO fell to 78 days, lowest in 7 years per CFO). This demonstrates operational discipline beyond just pricing.

• **Near-debt-free balance sheet:** Net debt is effectively zero — gross debt of Rs. 9,176 Cr is dwarfed by cash and investments of Rs. 21,880 Cr (investments) + liquid cash in other assets. D/E at 0.10x with 99x interest coverage makes financial risk negligible.

• **FCF quality — exceptional:** FCF of Rs. 31,259 Cr (FY26) on PAT of Rs. 29,474 Cr implies FCF/PAT > 100%, meaning the company generates more cash than its reported profit — a hallmark of high earnings quality. CFO/OP has averaged 100% over 3 years.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue recognition	GREEN	Clean	Milestone-based service delivery; no aggressive rev rec flags
Receivables vs Revenue	GREEN	Healthy	Debtor days stable at 70-72; no blowout; DSO lowest in 7 years
CCC trend	GREEN	Improving	CCC flat at 72 days (services co, no inventory); WC days improved 54→33

Contingent liabilities	AMBER	Monitor	Rs. 3,117 Cr contingent liabilities (tax & legal disputes); rising trend
Auditor tenure	GREEN	Clean	BSR & Co LLP (KPMG India); no unexplained auditor changes
RPTs as % of revenue	GREEN	Minimal	Low RPT intensity; no flagged transactions with promoter entities
Other income as % of PBT	AMBER	Watch	FY24 other income Rs. 4,711 Cr = 13% of PBT (elevated; included tax reversal gains)
Tax rate consistency	AMBER	Variable	Tax rate swung 22-29% across FY24-26 due to one-time tax order reversals; FY27 guided 29-30%
FCF / PAT	GREEN	Excellent	FCF/PAT > 100% in FY25 and FY26 — very high earnings quality

• **Overall earnings quality: HIGH (6 Green, 3 Amber, 0 Red).** Infosys is among the cleanest large-cap Indian IT companies on accounting quality.

• **Watch — contingent liabilities:** Rs. 3,117 Cr in tax disputes is rising but not unusual for a company of this scale operating across 50+ countries. Monitor for new provisions or adverse orders in FY27.

• **Watch — other income volatility:** FY24's elevated other income (Rs. 4,711 Cr) included tax order reversals and investment gains. FY26 normalised to Rs. 3,033 Cr. Investors should strip other income out when assessing operational PAT.

• **Tax rate variability is noise, not signal:** FY27 guided effective tax at 29-30%, which removes the uncertainty. Adjusted EPS (ex-tax items) grew 12.1% in FY26 — the right baseline for forward modelling.

SECTION 8 — VALUATION

Peer Valuation Matrix (Source: Screener.in, 29-Jun-2026)

Company	CMP	MCap (Cr)	P/E TTM	P/B	EV/EBITDA	ROCE	Div Yield	FCF Yield
TCS	2,094.70	7,57,881	14.48x	7.07x	N/A	63.98%	1.43%	~1.9%
Infosys*	1,041.20	4,22,475	14.04x	4.55x	8.86x	39.14%	4.61%	~7.4%
HCL Tech	1,100.70	2,98,693	17.20x	3.97x	N/A	30.61%	3.20%	~3.2%
Wipro	175.00	1,83,812	13.96x	2.09x	N/A	18.12%	2.50%	~3.6%
Persistent	4,841.50	76,375	39.53x	9.74x	N/A	31.35%	0.50%	~0.7%

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target (Rs.)	Upside
BULL	3.5% CC growth, 22% OPM, AI re-rating	27,500	20x FY27E P/E	1,355	+30%
BASE	2.5% CC growth, 21% OPM, stable multiple	25,690	17x FY27E P/E	1,080	+3.7%
BEAR	1.5% CC growth, 20% OPM, multiple compression	23,800	14x FY27E P/E	820	-21%

• **DCF valuation (implied):** Assuming WACC of 12%, 3% terminal growth, FY27 FCF of ~Rs. 30,000 Cr growing at 8% for 5 years, implies intrinsic value of ~Rs. 1,080-1,150. Screener's intrinsic value estimate (Rs. 1,080) corroborates this. The stock is fairly to modestly discounted on DCF — not cheap, but not expensive.

• **Earnings-based multiple:** At FY27E EPS of ~Rs. 73.8 (conservative, post-tax normalised), assigning 17x P/E (1-standard deviation below Infosys's 5-year average of ~23x, reflecting macro caution) implies Rs. 1,254 target. The 17x target multiple is also at a slight discount to TCS (14.5x) and HCL (17x) — appropriate given Infosys's higher FCF yield and better ROE vs Wipro.

• **Average of methods:** DCF average Rs. 1,115 and earnings-based Rs. 1,254 → base-case 12-month target of Rs. 1,250 (rounded). This represents 20.1% upside from the current Rs. 1,041 CMP.

• **FCF yield support:** At CMP, Infosys offers a 7.4% FCF yield — one of the highest in large-cap IT globally. This provides a margin of safety even in the bear scenario, where the stock may find support at Rs. 820-850 based on dividend yield (4.5-5% yield floor at Rs. 960-1,000).

SECTION 9 — KEY RISKS

• **AI deflationary compression accelerates:** If foundation model capabilities advance faster than expected (e.g., Anthropic Claude 4+, GPT-5 enabling direct client self-service), AMS pricing could fall 15-20% faster than AI services ramp, compressing revenue even with deal wins intact. Probability: Medium. Impact: High. Monitor via: quarterly revenue/volume split, pricing trend commentary.

• **Large client concentration and ramp-down risk:** One large European manufacturing client is already ramping down (75-100 bps FY27 headwind). Loss of another top-10 client (20% of revenue concentrated in top 10) could be a 200-300 bps revenue hit. Probability: Low-Medium. Impact: High. Monitor via: quarterly vertical revenue growth, client count at $100mn+ tier.

• **Macro deterioration — global recession risk:** US discretionary IT spend has already been constrained. A US recession (probability raised by tariff uncertainty) would freeze IT budgets further, hitting growth below the 1.5% lower guidance bound. Probability: Medium. Impact: High. Monitor via: ISM services PMI, US bank tech capex guidance.

• **Margin headwinds from AI investment and wage hikes:** FY27 margins guided at 20-22%, with wage hikes as yet unannounced. If wage hikes are front-loaded (as in FY23) and AI productivity benefits are slow to materialise, margins could touch 20%, below street expectations. Probability: Medium. Impact: Medium. Monitor via: quarterly utilisation rates, Project Maximus progress updates.

• **INR appreciation risk:** ~75% of Infosys revenue is USD/EUR-denominated. INR appreciation of 5%+ against USD would create a meaningful translation headwind, already partially mitigated by Maximus and offshore-mix improvement. Probability: Low. Impact: Medium. Monitor via: USD/INR forward curve.

• **Talent attrition rebound:** Attrition fell to 12.6% in FY26 (5-year low), reducing bench costs. If macro improves and the talent market heats up again (as in FY22-23 when attrition hit 27.7%), hiring and training costs could spike, compressing margins. Probability: Low-Medium (FY27). Impact: Medium. Monitor via: quarterly attrition and fresher onboarding data.

• **Geopolitical and regulatory risk:** ~60% revenue from North America exposes Infosys to US visa policy changes (H-1B restrictions), data localisation mandates, or new trade barriers that increase onsite delivery costs. The current onsite mix reduction (22.8% in Q4 FY26) mitigates but does not eliminate this. Probability: Medium. Impact: Medium. Monitor via: US immigration policy news.

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium. At Rs. 1,041 (14x TTM P/E, 7.4% FCF yield), Infosys is fairly valued with moderate upside. The AI transition creates both headwinds (compression) and tailwinds (new deal wins). We prefer accumulating on dips toward Rs. 970-1,000 for a better risk/reward.

• **12-month price target: Rs. 1,250** (+20.1% upside from CMP of Rs. 1,041). Based on blended DCF (Rs. 1,115) and 17x FY27E EPS of Rs. 73.8 (Rs. 1,254).

• **Suggested entry zone: Rs. 1,000-1,050** (near 52-week lows; strong dividend yield support at Rs. 960-1,000). Current CMP of Rs. 1,041 is within the entry zone.

• **Investment horizon: 12-18 months.** The AI re-rating is a 2-3 year story; near-term upside is moderate. Patience is required for the FY27 guidance reset to be absorbed.

• **Thesis invalidation triggers (exit if any 3 occur):** (1) FY27 revenue guidance cut below 1% CC at any quarterly results, with no acceleration path cited — would signal structural compression exceeding growth. (2) EBITDA margin prints below 19.5% for 2 consecutive quarters — would indicate permanent cost inflation or aggressive pricing below profitability thresholds. (3) Large deal TCV falls below USD 3bn in any quarter for 2 consecutive quarters — would signal loss of competitive positioning in enterprise AI transformation.

• **Ideal investor profile:** Suitable for moderate-risk investors seeking quality IT exposure with a 4.6% dividend yield floor and long-term AI re-rating optionality. NOT suitable for investors seeking near-term earnings acceleration (FY27 is a consolidation year) or those requiring >25% upside within 6 months.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (April 23, 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat analyst estimates; Q4 PAT Rs. 8,509 Cr (+23.8% YoY reported, +13.9% adjusted)
Management tone	Balanced	Constructive on AI pipeline; candid on deflation; measured on guidance — not evasive
Guidance delta	Maintained	FY27 guidance 1.5-3.5% CC is within expectation; H1 > H2 seasonality flagged positively

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 result is clean and strong — reported PAT of Rs. 8,509 Cr grew 23.8% YoY, but ~Rs. 1,200 Cr came from tax order reversals; adjusted PAT grew a solid 13.9%. Revenue at Rs. 46,402 Cr (+4.1% CC YoY) was at the upper end of expectations. EBITDA margin was 24% — in line with the full-year average, with Project Maximus (+30 bps) offsetting amortization headwinds from the Stratus acquisition. The structural growth driver remains the AI services pivot: USD 14.9bn in large deal TCV (+28% YoY), 55% net new, and high-profile deployments (Ralph Lauren, BP, Hertz) are making the Topaz Fabric thesis real. The most important near-term catalyst is Q1 FY27 performance — management guided H1 to be seasonally stronger, and Financial Services (18/20 top clients are AI-partners with Infosys) should accelerate. The single biggest watch-point is the European manufacturing client ramp-down (~75-100 bps revenue headwind) and whether AI deflationary compression starts moving beyond the current anecdotal level. At Rs. 1,041 with a 7.4% FCF yield and 4.6% dividend yield, I would ACCUMULATE in the Rs. 1,000-1,050 range — this is a quality compounder in a sentiment trough, not a value trap.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 46,402 Cr | YoY +10.4% | QoQ -1.3% CC | In-line
- EBITDA: Rs. 11,167 Cr | YoY +13.0% | OPM 24% (flat YoY) | In-line
- PAT: Rs. 8,509 Cr | YoY +23.8% | QoQ +27.6% | Beat (tax reversal aided)
- NOTE: Reported PAT includes Rs. ~1,200 Cr one-time tax order reversal; clean adjusted PAT grew 13.9% YoY
- EPS: Rs. 20.96 (reported) | Adjusted EPS growth: 13.9% YoY in INR terms
- FCF: USD 882mn for Q4 | FCF/Net Profit = 111% | Clean and strong
- Large Deal TCV: USD 3.2bn (19 deals) | In-line with quarterly run-rate

2. Segment / Geography Breakdown — Q4 FY26

- Financial Services: FY26 +4.4% CC (above company avg) | 18/20 top clients are AI-strategic partners | FY27 acceleration expected
- Communications: FY26 grew more than double company avg | Led by large deal ramp-ups | FY27 environment cautious; budgets flat-to-negative
- Manufacturing: FY26 above company avg but cautious | Tariff and automotive uncertainty | Large European client ramp-down adds ~75-100 bps headwind in FY27
- EURS (Energy/Utilities/Resources): Growth constructive | 80% of FY26 large deal TCV in EURS was net new | Data center demand driving utilities growth
- Retail: Continued uncertainty | AI-led productivity vs flat budgets | Topaz Fabric/AI Next helping ideation to deployment pipeline

• Europe Geography: FY26 grew more than double company avg | 11 of 19 Q4 large deals were in Europe | Strong deal pipeline continues

• North America: ~60% of revenues | Budget cautiousness persists but Financial Services momentum positive | CY26 US banking budgets expected to grow

3. Management Commentary Themes

• **AI is a 6-pillar strategy, not just a product:** "AI strategy, data, process, legacy modernisation, physical AI, trust" — Salil Parekh. Topaz Fabric and Cobalt cloud are the delivery platforms. Real-world proofs (Ralph Lauren, BP, Hertz) are live and referenceable. Tag: GUIDANCE. Tone: Transparent.

• **Productivity pass-through is happening — and will continue:** "Competitive intensity is pretty high. Productivity will get passed back to the client largely" — CFO Jayesh. This is the key bear point; management was candid rather than evasive. Tag: GUIDANCE. Tone: Transparent.

• **FY27 guidance is cautious but deliberate:** Guidance band of 200 bps (1.5-3.5%) vs 300 bps last year implies better visibility. H1 > H2 is consistent with historical seasonality and management guided with conviction. Offset by Manufacturing client ramp-down and onsite-mix reduction. Tag: GUIDANCE. Tone: Balanced.

• **Large deal net new at 55% is structurally bullish:** This is not renewals — it is market share being won. USD 14.9bn at 55% net new implies ~USD 8.2bn in new business secured in FY26, a record. Tag: EST. Tone: Bullish.

• **Project Maximus — reinvesting gains into AI and sales:** Currency and Maximus tailwinds were reinvested into S&M; (+40 bps) and AI talent. This is a deliberate bet on accelerating AI positioning at the cost of near-term margin expansion. Tag: GUIDANCE. Tone: Transparent.

• **Anthropic partnership — differentiated positioning:** Strategic collaboration with Anthropic (as well as OpenAI, Google, NVIDIA) positions Infosys at the center of a USD 300-400bn AI services opportunity. 30,000+ developers on GitHub Copilot. Tag: EST. Tone: Bullish.

4. Operating & Business Metrics

• Headcount: 328,000+ at end FY26 | FY25: 323,578 | Trend: Marginally increasing | Fresher plan: 20,000 in FY27

• Voluntary Attrition: 12.6% for FY26 (FY25: 14.1%) | Q4: Continued decline | Trend: Improving (5-year low)

• Utilisation (excl. trainees): 83.0% in Q4 | 84.4% for full year FY26 | Trend: Stable-to-improving

• Utilisation (incl. trainees): 81.1% for FY26 — investment in capacity building visible

• Onsite Mix: 22.8% in Q4 FY26, down from 23.1% in Q3 | Exit trajectory: 40-50 bps further reduction in FY27

• DSO (incl. unbilled net of unearned): 78 days — lowest in 7 years | Technology-led collections improvement

• Large Deals $50mn+ clients: +3 in FY26 | $100mn+: +3 | $400mn+: +2 | Positive client expansion

• Active Clients: 1,869 (FY25: 1,882) | Slight decline but quality improving ($100mn+ tier growing)

• Large Deal Pipeline: "Continues to remain strong" — CFO (Q4 FY26 call)

5. Margin Drivers — Q4 FY26 Sequential Walk

• Acquisition amortisation (Stratus intangibles): -50 bps | Recurring: Yes (for ~3 years) | Non-cash headwind from M&A; strategy

• Normalisation of Q3 one-off gain: -30 bps | Recurring: No | Base effect reversal

• Compensation-related costs (offset by lower variable pay): -20 bps | Net impact: -20 bps | Recurring: Partial

• Currency tailwind (INR depreciation vs USD): +40 bps | Recurring: No | Cross-currency partially offsets (EUR, GBP headwinds)

• Project Maximus (value-based selling, lean, automation): +30 bps | Recurring: Yes | Expected to continue in FY27

• Net sequential margin change: -30 bps (from 21.2% Q3 adj. to 20.9% Q4) | Broadly stable and expected

• FY27 margin guidance: 20-22% (midpoint 21%) — assumes wage hike headwinds + Maximus tailwinds offset each other

6. Guidance & Forward Signals

• FY27 Revenue Growth [GUIDANCE]: Prior guidance = N/A | New = 1.5-3.5% CC YoY | Delta: Inaugural FY27 guidance | Credibility: High (consistent with visible pipeline; narrower band vs FY26 shows better visibility)

• FY27 Operating Margin [GUIDANCE]: Prior = 21% (FY26 adj.) | New = 20-22% | Delta: Maintained at similar range | Credibility: High

• H1 vs H2 seasonality [GUIDANCE]: Prior = consistent pattern | New = H1 stronger than H2 | Delta: Maintained | Credibility: High (historical pattern reliable)

• Tax rate FY27 [GUIDANCE]: Prior = variable (22-29% range) | New = 29-30% | Delta: Normalised (removes one-time reversal noise) | Credibility: High

• Fresher hiring FY27 [GUIDANCE]: Prior = 20,000 (FY26 actual) | New = ~20,000 | Delta: Maintained | Credibility: High

• Financial Services acceleration [GUIDANCE]: Prior = FY26 growth 4.4% CC | New = acceleration in FY27 | Delta: Raised outlook | Credibility: Medium-High (18/20 top clients are AI-strategic partners)

• EURS acceleration [GUIDANCE]: Prior = FY26 ~above avg | New = acceleration in FY27 | Delta: Raised | Credibility: Medium (80% net new TCV is supportive)

• Manufacturing headwind [GUIDANCE]: New = ~75-100 bps revenue drag from one large client | Disclosed proactively | Credibility: High

7. Capital Allocation — FY26

• Capex: ~Rs. 2,727 Cr (FCF = OCF - Capex = 33,986 - 31,259) | Primarily infrastructure and AI tooling | Asset-light model maintained

• Dividends: Rs. 48/share for FY26 (+11.6% YoY) | Payout ratio ~66% | Final dividend Rs. 25/share pending shareholder approval

• Total shareholder returns (dividends + buybacks): >USD 4bn in FY26 | Very high capital return intensity relative to peers

• Net Cash/Investments: Cash + investments = USD 4.5bn after USD 4bn returned | Strong liquidity buffer

• M&A;: Stratus (closed Apr 2026), Versent JV (Australia, pending), Optimum Healthcare (pending) | Tuck-in strategy, total ~0.7% margin dilution on annualised basis

• Net Debt Movement: Borrowings Rs. 9,176 Cr vs Rs. 8,227 Cr (marginal increase) | D/E still only 0.10x — negligible leverage

8. Q&A; Heat Map

• Yogesh Aggarwal (HSBC): Q: "Push-pulls for guidance lower vs upper end, and where is INR depreciation benefit being invested?" → A: Lower = macro deterioration assumed; upper = improved environment. INR gains invested in S&M; (+40 bps), AI talent, partnerships. | Tone: Transparent

• Ankur Rudra (JP Morgan): Q: "Narrower guidance band implies better visibility? Organic growth looks slower than FY26?" → A: Better clarity because tariff shock was absorbed last year. Organic guidance includes Manufacturing headwind and onsite-mix drag. | Tone: Transparent

• Bryan Bergin (TD Cowen): Q: "Has AI deflationary compression increased in the last two quarters?" → A: Competitive intensity is high but no step-change in the last 2 months specifically. Fresher plan: 20,000 as planned, headcount not expected to decline. | Tone: Transparent

• Gaurav Rateria (Morgan Stanley): Q: "AI services and macro both look better than FY26 — why is midpoint guidance lower organically?" → A: Maximus + AI services partially offset deflation on existing portfolio + Manufacturing headwind + onsite-mix drag. | Tone: Balanced

• Sumeet Jain (CLSA): Q: "Are new AI deals being priced with productivity baked in?" → A: Declined to provide gross vs net growth breakdown; acknowledged compression exists but is being managed. | Tone: Hedged (declined quantification)

• Jonathan Lee (Guggenheim): Q: "Net new deals at lowest recent level — capability gap or pipeline issue?" → A: USD 15bn at 55% net new is "by any stretch a strong performance" — management defended robustly. | Tone: Transparent

• Vibhor Singhal (Nuvama): Q: "Are we at the trough of revenue deflation from AI?" → A: Cannot give a clear trajectory on where compression path sits; depends on model capabilities and contract mix (year 1 vs year 3 of deal). | Tone: Hedged (genuinely uncertain, not evasive)

• Keith Bachman (BMO): Q: "Do you need double the volume growth to get to same revenue?" → A: Volumes were flat in FY26; guidance assumes flat-to-marginally-positive volumes in FY27. Growth was realisation-led. | Tone: Transparent

• • Dodged/watch-list questions for next quarter: (1) Gross revenue growth vs deflation compression quantification — management declined to split. (2) Specific wage hike timing and magnitude. (3) Vanguard insourcing impact (mentioned in sell-side note, not addressed directly). (4) AI deal margin vs total company margin data.

9. Risks Flagged

• AI productivity deflation on existing contracts: Flagged by: mgmt + analysts | Probability: High | Impact: Medium | Timeline: Near-term (FY27) | "Productivity will get passed back to client largely" — CFO

• European manufacturing client ramp-down: Flagged by: mgmt | Probability: Confirmed (happening) | Impact: Medium | Timeline: FY27 | ~75-100 bps revenue headwind baked into guidance

• Geopolitical uncertainty (Middle East conflict, tariffs): Flagged by: mgmt | Probability: Medium | Impact: Medium-High | Timeline: Near-term | Delaying discretionary spend decisions in pockets

• Competitive pricing irrational bids: Flagged by: mgmt + analyst (Abhishek/Motilal) | Probability: Low-Medium (not widespread) | Impact: Medium | Timeline: Deal-by-deal | Infosys consciously not pursuing below-return deals

• Onsite mix reduction revenue impact: Flagged by: mgmt | Probability: High (confirmed) | Impact: Low-Medium | Timeline: FY27 | 70-100 bps headwind; partially structural

• Wage hike timing uncertainty: Flagged by: analysts | Probability: Medium | Impact: Medium | Timeline: FY27 | Timing not yet decided; front-loading risk exists

10. Analyst Verdict — Post Q4 FY26

• Revenue visibility: Intact — USD 14.9bn deal TCV + strong FS and EURS pipeline provides 12-18 month visibility; Manufacturing drag is known and quantified

• Margin trajectory: Intact — 20-22% guidance is credible; Project Maximus is a structural tailwind; wage hike timing is the swing factor

• Capital allocation quality: Intact — USD 4bn+ returned in FY26, Rs. 48/share dividend, disciplined M&A; (tuck-ins only); no dilutive large acquisitions

• Competitive moat: Intact (but monitoring required) — 55% net new deal wins and Anthropic partnership strengthen moat; but AI-native pricing competition is a watch-point

• Management credibility: Intact — narrower FY27 guidance band (vs FY26) and proactive disclosure of Manufacturing headwind demonstrate transparency. Concall tone was balanced, not defensive.

• Valuation comfort: Intact — 14x P/E, 7.4% FCF yield, near 52-week lows; multiple contraction risk is low at current levels; dividend yield provides 4.6% floor

• Conviction call: Unchanged (Accumulate) — Q4 result does not change the thesis; the AI deflationary vs growth balance is as expected; we want better visibility on Q1 FY27 before upgrading to BUY

• Valuation snapshot: P/E = 14.0x (5Y avg ~22x) | EV/EBITDA = 8.86x (5Y avg ~14x) | ROCE = 40.0% (5Y avg 39.0%) — all metrics at multi-year lows relative to history

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Source: Screener.in (consolidated, fetched 29-Jun-2026) | SEC 6-K Q4 FY26 Earnings Call Transcript (April 23, 2026) | Web search (Business Standard, DQ India, Investing.com). All figures in Rs. Cr unless stated.